meet the ever growing requirement of development activities.

3. Expert Advice

India used to get expert advice from IMF for solving the economic problems. It has given valuable advice to India with regard to financing its 5 year plan.

4. Timely Help

India has received timely help from IMF many a time to eliminate the deficit in its balance of payments. India got help from IMF during 1966 in the aftermath of war with Pakistan. It received assistance from IMF for combating oil shock. Between 1980 and 1983 India got assistance from IMF to manage global economic recession.

5. Financial Assistance during Natural Calamity

India has got a lot of financial assistance from IMF to solve the economic crises arising from natural calamities like, floods, famine, earthquake, aggressions of Chinese and Pakistan etc. It gets technical assistance from IMF.

6. Membership in World Bank

By virtue of its membership in IMF India could become member in the World Bank.

7. Help During 1991 Economic Crisis

During 1990, India faced serious economic crisis. Indian Government was almost nearing bankruptcy. It got assistance from IMF by pledging its gold reserve with it to solve its balance of payments crisis.

27.04 South Asian Association for Regional Co-Operation (SAARC)

South Asian Association for Regional Co-operation is the regional inter governmental organization and geo-political union of nations in South Asia. The member countries include Afghanistan, Bangladesh, Bhutan, India, Nepal, Srilanka, Pakistan and Maldives. It was established on 8th December 1985. It was founded at Dhaka in Bangladesh.

Objectives of SAARC

The objectives of SAARC include the following



Liberalised Exchange Rate Management System (LERMS) was introduced in the budget 1992-93. Under the LERMS, Exporters of goods and services and those who are recipients of remittances from abroad could sell the bulk of their foreign exchange receipts at market determined rates. Similarly, those who need to import goods and services or undertake travel abroad could buy foreign exchange to meet such needs, at market determined rates from the authorised dealers, subject to their transactions being eligible under the liberalised exchange control system. However, in respect of certain specified priority imports and transactions, provisions were made in the scheme for making available foreign exchange at the official rate by the Reserve Bank of India.

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